SESSION 2

INTRODUCTION TO FINANCIAL ACCOUNTING

SCALER SCHOOL OF TECHNOLOGY

Learning Outcomes

Session 1: Introduction to Financial Accounting:

By the end of the session, learners will be able to:

- **Explain** the purpose and role of financial statements.
- **Describe** the structure and key components of the Income Statement.
- **Explain** the purpose and key elements of the Balance Sheet.
- **Describe** the purpose and classification of cash flows in the Cash Flow Statement.
- **Apply** the accounting equation to analyse the impact of basic business transactions.
- **Classify** accounting transactions into assets, liabilities, equity, income, expenses, gains, and losses.
- **Analyse** simple financial statements to assess a business's performance, financial position, and cash flows.

Recap: Session 1

"Accounting is the process of **identifying, recording, classifying, summarising, analysing, communicating** financial information about a business.

It helps business understand:

- ❑What they **own (assets)**
- ❑ What they **owe (liabilities)**
- ❑How much the **owners have invested (owners' equity)**
- ❑How much the business has **earned (revenues)**
- ❑How much it has **spent (expenses)**
- ❑Whether it has made a **profit or loss**
- ❑ Where its **cash** has come from and gone **(cash inflow & outflow)**

Recap: Session 1

The **Accounting Equation** is the fundamental equation of accounting where:

Assets = Liabilities + Equity

Assets: These are resources owned or controlled by the business.

- **Examples:** Cash, inventory, equipment, buildings, receivables.

Liabilities: These are resources/amounts owed by the business to outsiders.

- **Examples:** Bank loans, trade payables, outstanding expenses.

Equity: These are the owner's residual interest in the business.

Equity = Assets – Liabilities

Statement of Financial Position

The **Statement of Financial Position,** also called the **Balance Sheet,** shows the **financial position** of a business at a **specific point in time.**

It tells us:

A. **What a business owns (Assets)**
B. **What a business owes (Liabilities)**
C. **What belongs to the owners after liabilities (Equity)**

STATEMENT OF FINANCIAL POSITION

ABC Ltd.
Statement of Financial Position
as at 31 March 2025
(₹ in lakhs)

ASSETS	₹
I. NON-CURRENT ASSETS	
1. Property, Plant and Equipment (PPE)	
Land and Buildings	xx,xx,xxx
Plant and Machinery	xx,xx,xxx
Furniture and Fixtures	xx,xx,xxx
Vehicles	xx,xx,xxx
Office Equipment	xx,xx,xxx
Capital Work-in-Progress	xx,xx,xxx
Total PPE	**xx,xx,xxx**
2. Intangible Assets	
Goodwill	xx,xx,xxx
Patents	xx,xx,xxx
Computer Software	xx,xx,xxx
Trademarks / Brand	xx,xx,xxx
Licences	xx,xx,xxx
Total Intangible Assets	**xx,xx,xxx**
3. Financial Assets	
(A) Long-term Investments	
– Investments in Subsidiaries	xx,xx,xxx
– Investments in Associates	xx,xx,xxx
– Investments in Joint Ventures	xx,xx,xxx
– Investments in Others (Equity Instruments)	xx,xx,xxx
– Others	xx,xx,xxx
Total Long-term Investments	**xx,xx,xxx**
(B) Other Long-term Financial Assets	xx,xx,xxx
(C) Long-term Loans and Advances	xx,xx,xxx
4. Deferred Tax Assets (Net)	xx,xx,xxx
5. Other Non-current Assets	xx,xx,xxx
TOTAL NON-CURRENT ASSETS	**xx,xx,xxx**
II. CURRENT ASSETS	
1. Inventories	
Raw Materials	xx,xx,xxx
Work-in-Progress	xx,xx,xxx
Finished Goods	xx,xx,xxx
Stores and Spares	xx,xx,xxx
Total Inventories	**xx,xx,xxx**
2. Financial Assets	
(A) Current Investments	
– Investments in Mutual Funds	xx,xx,xxx
– Investments in Government Securities	xx,xx,xxx
– Investments in Others	xx,xx,xxx
Total Current Investments	**xx,xx,xxx**
(B) Trade Receivables	xx,xx,xxx
(C) Cash and Cash Equivalents	
– Cash on Hand	xx,xxx
– Balances with Banks	xx,xx,xxx
(D) Bank Balances other than Cash and Cash Equivalents	xx,xx,xxx
(E) Other Current Financial Assets	xx,xx,xxx
3. Other Current Assets	
Prepaid Expenses	xx,xx,xxx
Advances to Suppliers	xx,xx,xxx
Advances to Employees	xx,xx,xxx
Other Current Assets	xx,xx,xxx
Total Other Current Assets	**xx,xx,xxx**
TOTAL CURRENT ASSETS	**xx,xx,xxx**
TOTAL ASSETS (I + II)	**xx,xx,xxx**

EQUITY AND LIABILITIES	₹
I. EQUITY	
1. Equity Share Capital	xx,xx,xxx
2. Other Equity	
Securities Premium	xx,xx,xxx
Retained Earnings	xx,xx,xxx
General Reserve	xx,xx,xxx
Capital Reserve	xx,xx,xxx
Other Reserves	xx,xx,xxx
TOTAL EQUITY	**xx,xx,xxx**
II. NON-CURRENT LIABILITIES	
1. Financial Liabilities	
Long-term Borrowings	xx,xx,xxx
Lease Liabilities	xx,xx,xxx
Other Financial Liabilities	xx,xx,xxx
2. Provisions	
Provision for Employee Benefits	xx,xx,xxx
Provision for Contingencies	xx,xx,xxx
3. Deferred Tax Liabilities (Net)	xx,xx,xxx
4. Other Non-current Liabilities	xx,xx,xxx
TOTAL NON-CURRENT LIABILITIES	**xx,xx,xxx**
III. CURRENT LIABILITIES	
1. Financial Liabilities	
(A) Short-term Borrowings	xx,xx,xxx
(B) Trade Payables	
– Total outstanding dues of micro and small enterprises	xx,xx,xxx
– Total outstanding dues of creditors other than micro and small enterprises	xx,xx,xxx
(C) Other Financial Liabilities	xx,xx,xxx
2. Other Current Liabilities	
Advances from Customers	xx,xx,xxx
Statutory Liabilities	xx,xx,xxx
Other Current Liabilities	xx,xx,xxx
Unearned Revenue	xx,xx,xxx
3. Provisions	
Provision for Employee Benefits	xx,xx,xxx
Provision for Contingencies	xx,xx,xxx
TOTAL CURRENT LIABILITIES	**xx,xx,xxx**
TOTAL EQUITY AND LIABILITIES (I + II + III)	**xx,xx,xxx**

NOTE: Figures shown above are illustrative. The statement is prepared in accordance with Indian Accounting Standards (Ind AS).

Fundamental Accounting Equation
Total Assets = Total Equity + Total Liabilities

Non-Current Assets

Assets are economic resources **owned** and **controlled** by the business that is expected to provide **future economic benefits (what a business owns).**

Major types of assets:

A. Non-Current Assets:

✔ These are assets that are expected to be **held or used** by the business **for more than one accounting period, normally more than 12 months.**

✔ They are generally used to **support the business** over the long term rather than being held primarily for immediate sale or consumption.

✔ **Examples of Non-Current assets:**

- Property, Plant & Equipment (PPE) – such as factory building, machinery, vehicles, furniture & fittings
- Long-term investments – these are investments held for long-term purposes
- Certain intangible assets
- Right-of-use assets (lease assets)

Non-Current Assets

Depreciation: It is process of spreading the cost of the non-current asset (PPE) asset over its **useful life** in which the asset is used to generate **economic benefits.**

Why depreciation

- ✔ A **non-current asset** normally provides benefits over several accounting periods.
- ✔ **Depreciation** therefore helps apply the **matching principle.**
- ✔ The cost of an asset is recognised as an expense over the periods in which the asset contributes to generating revenue.

✔ **Important terminologies:**

1. **Cost:** The amount initially recognised for the asset.

   Example: The cost of a machine with a useful life of 5 years is ₹10,00,000.

2. **Residual value:** The estimated amount the business expects to obtain from disposing the asset at the end of its useful life, after deducting estimated disposal costs.

   Example: The cost of a machine with a useful life of 5 years is ₹10,00,000. The expected value at the end of 5 years is ₹1,00,000. Therefore, the **residual value** is ₹1,00,000.

Non-Current Assets

✔ **Important terminologies:**

3. Useful Life: The **period** for which the business expects to **use the asset,** or the **number of units of production** expected from the asset.

Example: The machine is expected to be used for 5 years. Therefore **useful life** is **5 years.**

4. Depreciable value: It is the portion of an asset's cost that the business expects to consume through its use. It is calculated as follows:

Depreciable Amount = Cost of the Asset –Residual Value

Example: The cost of a machine with a useful life of 5 years is ₹11,00,000. The expected value at the end of 5 years is ₹1,00,000. The **depreciable amount is = ₹11,00,000 – ₹1,00,000 = ₹10,00,000.**

Non-Current Assets

Major Types of Depreciation: There are 2 major types of depreciation.

- ✔ **Straight Line Method –** Under this method, the same amount of depreciation is charged every year over the asset's useful life.

- ✔ The depreciation is calculated using the following formula:

$$\text{Annual Depreciation} = \frac{\text{Cost} - \text{Residual Value}}{\text{Useful Life}}$$

- ✔ **Example:** A manufacturing company purchases a machine with the following information:
  - Cost = ₹10,00,000
  - Residual value = ₹1,00,000
  - Useful life = 5 years

The company follows the straight-line method of depreciation. Show the annual depreciation over the life of the machine.

Non-Current Assets

Solution:

$$\text{Annual Depreciation} = \frac{₹10,00,000 - ₹1,00,000}{5}$$

$$= \frac{₹9,00,000}{5}$$

$$\boxed{= ₹1,80,000 \text{ per year}}$$

Year	Opening Balance	Annual Depreciation	Closing Balance
1	₹10,00,000	₹1,80,000	₹8,20,000
2	₹8,20,000	₹1,80,000	₹6,40,000
3	₹6,40,000	₹1,80,000	₹4,60,000
4	₹4,60,000	₹1,80,000	₹2,80,000
5	₹2,80,000	₹1,80,000	₹1,00,000

Non-Current Assets

Major Types of Depreciation: There are 2 major types of depreciation.

- ✔ **Reducing Balance Method –** Under this method, depreciation is calculated each year as a **fixed percentage of the asset's opening carrying amount.**

- ✔ The depreciation is calculated using the following formula:

Annual Depreciation = Opening Balance x Depreciation Rate

- ✔ **Example:** A logistics company purchases a truck with the following information:
  - •Cost = ₹20,00,000
  - • Depreciation Rate = 25%
  - •Residual value = NIL
  - •Useful life = 5 years

The company follows the reducing balance method of depreciation. Show the annual depreciation over the life of the machine.

Non-Current Assets

Solution:

Year	Opening Balance	Depreciation @ 25%	Closing Balance
1	₹20,00,000	₹5,00,000	₹15,00,000
2	₹15,00,000	₹3,75,000	₹11,25,000
3	₹11,25,000	₹2,81,250	₹8,43,750
4	₹8,43,750	₹2,10,938	₹6,32,812

Non-Current Assets

Long-term investments: They are investments that a company expects to hold for more than one year & can be held for 2 major reasons:

- ✔ **Strategic investment –** to support or strengthen the company's business strategy.
- ✔ **Financial investment –** primarily to earn a financial return such as dividends, interest or capital appreciation.

Non-Current Assets

Tata Motors's Long-term investments: In Tata Motors' standalone balance sheet at March 31, 2025, non-current financial assets included:

Non-current investment	March 31, 2025	Classification
Investments in subsidiaries, joint ventures & associates#	₹29,718 crore	Strategic
Other investments	₹1,709 crore	Financial
Total long-term investments	**₹31,427 crore**	**—**

The FY25 standalone balance sheet reports ₹29,718 crore in investments in subsidiaries, joint ventures and associates and ₹1,709 crore in other investments.

Non-Current Assets

Tata Motors's Strategic Investments of ₹ 29,718 crore: Some investment disclosures from the FY25 financial reports are:

Tata Motors investment[#]	Relationship	Nature	
Tata Motors Passenger Vehicles Ltd.	Subsidiary	Strategic	Core passenger-vehicle business
TML Commercial Vehicles Ltd.	Subsidiary	Strategic	Commercial-vehicle business
TML Smart City Mobility Solutions Ltd.	Subsidiary	Strategic	Sustainable/urban mobility
TML CV Mobility Solutions Ltd.	Subsidiary	Strategic	Commercial-vehicle mobility solutions
Tata Motors Digital.AI Labs Ltd.	Subsidiary	Strategic	Digital/AI capabilities
Tata Motors Global Services Ltd.	Joint venture	Strategic	Group/business support services
Tata Technologies Ltd.	Subsidiary/strategic group investment	Strategic	Engineering, product development and digital capabilities
Automobile Corporation of Goa Ltd.	Associate	Strategic	Automotive manufacturing/business relationship
Tata Hitachi Construction Machinery Co. Pvt. Ltd.	Associate	Strategic	Construction-equipment business

Tata Motors reported 93 subsidiaries, 10 associates and 4 joint ventures at FY25.

Non-Current Assets

Volkswagen Group's Long-term investments: Volkswagen's FY2025 consolidated balance sheet as of 31 December 2025 provides the following long-term investments breakdown.

Non-current investments#	€ billion	Nature
Equity-accounted investments	€10.0 bn	Strategic
Other equity investments	€7.4 bn	Mainly financial/portfolio, but some strategic
Other financial assets	€11.7 bn	Financial
Total of these categories	€29.1 bn	—

The Volkswagen balance sheet reports €9.996 billion of equity-accounted investments, €7.366 billion of other equity investments, and €11.692 billion of other financial assets as non-current assets.

Non-Current Assets

Volkswagen's strategic equity-investments: Volkswagen's €9.996 billion equity-accounted investments consist of investments in associates and joint ventures. These are classified as **strategic investments.**

Volkswagen investment	Holding	Classification	Strategic rationale
QuantumScape	16%	Strategic	Solid-state battery technology
Gotion High-Tech	24%	Strategic	Battery technology and EV supply chain
Sinotruk	25%	Strategic	Chinese commercial-vehicle market
FAW-Volkswagen	40%	Strategic	Passenger-vehicle manufacturing in China
SAIC-Volkswagen	50%	Strategic	Passenger-vehicle manufacturing in China
SAIC-Volkswagen Sales	48%	Strategic	Vehicle distribution/sales in China

Volkswagen's €11.7 billion other financial assets – Financial investments: Volkswagen also reports €11.692 billion of non-current other financial assets.

Volkswagen investment	Amount as at Dec. 31, 2025 (€ billion)	Classification
Receivables from loans, bonds and profit participation rights	€6.931 bn	Financial
Miscellaneous financial assets	€1.059 bn	Financial
Positive fair values of derivative financial instruments	€3.702 bn	Financial/hedging
Total	**€11.692 bn**	**Financial**

Non-Current Assets

Intangible assets: They are **identifiable non-monetary assets** without **physical substance** that a business controls and from which it expects future economic benefits.

Some common examples of intangible assets are:

- ✔ Patents
- ✔ Copyrights
- ✔ Trademarks
- ✔ Brands
- ✔ Software Licences
- ✔ Franchises
- ✔ Customer relationships
- ✔ Technology
- ✔ Research and Development expenditure (subject to certain conditions)
- ✔ Goodwill — is is treated separately from other intangible assets & only shows up during mergers & acquistions

Non-Current Assets

Initial Recognition of Intangible Assets: An intangible asset will be recognised only if both conditions are satisfied:

- ✔ **Probable future economic benefits –** Expected benefits attributable to the asset are likely to flow to the entity.
- ✔ **Reliable measurement of cost –** Expected benefits attributable to the asset are likely to flow to the entity.

Purchased/Externally Acquired Intangible Assets: Initally recognised at cost.

- ✔ **Example –** Purchased patent, licence, software or copyright for ₹10 crore.

Internally Generated Intangible Assets: Initially recognised at cost.

- ✔ **Example –** Purchased patent, licence, software or copyright for ₹10 crore.

Non-Current Assets

Subsequent Measurement of Intangible Assets: There are 2 models

Cost model:

- ✔ The carrying amount of an intangible asset = **Cost – Accumulated amortisation – Accumulated impairment losses**
- ✔ The asset is **amortised** over its **useful life.**

Revaluation model: An intangible asset may be carried at:

- ✔ The intangible asset may be carried at: **Carrying amount = Fair value − subsequent amortisation/impairment**

Non-Current Liabilities

Non-Current Liabilities: These are **obligations** that are **not expected to be settled** within the next **12 months** or within the business's normal operating cycle.

Examples:

- ✔ Long-term bank loans
- ✔ Debentures and bonds payable
- ✔ Long-term lease liabilities
- ✔ Long-term provisions
- ✔ Deferred tax liabilities
- ✔ Other long-term borrowings

Current Liabilities

Current Liabilities: These are **obligations** that are **expected to be settled** within the next **12 months** or within the business's normal operating cycle.

Examples:

- ✔ Trade payables
- ✔ Short-term borrowings
- ✔ Accrued expenses such as salaries and wages payable, interest payable
- ✔ Tax payable
- ✔ Current portion of long-term debt
- ✔ Contract liabilities/revenue received in advance
- ✔ Current lease liabilities

Equity

Equity: This represents the **residual claim** of the **owners in the assets** of the business after deducting all liabilities.

Equity = Assets – Liabilities

Components of equity:

- ✔ **Share capital –** A company's share capital may include different classes of shares, depending on its legal structure, such as **ordinary shares** and **preference shares.**
- ✔ **Retained earnings –** They represent accumulated profits of the company that have been retained in the business rather than distributed to shareholders.
- ✔ **Securities premium –** This is the amount received above the nominal/par value, where applicable.

Income Statement

Income Statement: A financial statement that shows the **financial performance** of a business over a particular period—for example, a month, quarter, or financial year.

Main objectives of an Income Statement

- ✔ To determine **profitability**
- ✔ To measure **operating performance**
- ✔ To compare **performance**

INCOME STATEMENT PROFORMA

For the Year Ended 31 March 20XX (Amount in ₹)

Particulars	Amount (₹)
I. REVENUE FROM OPERATIONS	
Revenue from Sale of Products	XXX
Revenue from Sale of Services	XXX
Other Operating Revenues	XXX
Total Revenue from Operations (Net)	**XXX**
II. OTHER INCOME	
Interest Income	XXX
Dividend Income	XXX
Gain on Sale of Assets	XXX
Sundry Balances Written Back	XXX
Total Other Income	**XXX**
III. TOTAL INCOME (I + II)	**XXX**
IV. EXPENSES	
Cost of Materials Consumed	(XXX)
Purchases of Stock-in-Trade	(XXX)
Changes in Inventories of Finished Goods, Work-in-Progress and Stock-in-Trade	(XXX)
Employee Benefits Expense	(XXX)
Power and Fuel	(XXX)
Freight, Carriage and Delivery	(XXX)
Other Manufacturing Expenses	(XXX)
A. COST OF GOODS SOLD / COST OF SALES	**(XXX)**
GROSS PROFIT (III – A)	**XXX**
Less: OPERATING EXPENSES	
Selling & Distribution Expenses	(XXX)
Administrative Expenses	(XXX)
Research & Development Expenses	(XXX)
Other Operating Expenses	(XXX)
Depreciation & Amortisation Expense	(XXX)
Total Operating Expenses	**(XXX)**
OPERATING PROFIT (EBIT)	**XXX**
V. FINANCE COSTS	
Interest on Borrowings	(XXX)
Other Finance Costs	(XXX)
Total Finance Costs	**(XXX)**
VI. PROFIT BEFORE TAX (PBT)	**XXX**
VII. TAX EXPENSE	
Current Tax	(XXX)
Deferred Tax	(XXX)
Total Tax Expense	**(XXX)**
VIII. PROFIT AFTER TAX (PAT) / NET PROFIT	**XXX**

Notes:

1. Figures are provisional and subject to audit.
2. All amounts are in Indian Rupees (₹).
3. This proforma is prepared based on management estimates and assumptions.

Income Statement

Key Line Items in an Income Statement:

1. Revenue/Sales

- ✔ Total income earned from selling products or providing services.
- ✔ Usually the first item shown in the income statement.

2. Cost of Goods Sold (COGS)

- ✔ Direct costs associated with producing or purchasing goods sold.
- ✔ Includes materials, direct labour, and production-related costs.

3. Gross Profit

- ✔ Shows the profit earned after deducting the direct cost of goods sold.
- ✔ **Gross Profit = Revenue − COGS**

4. Operating Expenses

- ✔ Expenses incurred in managing and operating the business.
- ✔ Examples: salaries, rent, advertising, depreciation, insurance, and utilities.

5. Operating Profit

- ✔ Profit generated from the company's main business activities.
- ✔ **Operating Profit = Gross Profit − Operating Expenses**

Income Statement

Key Line Items in an Income Statement:

6. Other income

✔ Income earned from activities other than the company's main operations.
✔ **Example:** interest income, dividend income, and profit on sale of assets.

7. Other Expenses / Finance Costs

✔ Expenses not directly related to normal operations.
✔ **Example:** interest on loans, finance charges, and losses on asset sales.

8. Profit Before Tax (PBT)

✔ Profit earned after considering operating and other income/expenses but before tax.
✔ It is calculated as **PBT = Operating Profit + Other Income − Other Expenses**

9. Income Tax Expense

✔ Amount of tax payable or provided on the company's taxable income.

10. Profit After Tax (PAT) /Net Profit/Net Income

✔ Final profit remaining after deducting income tax.
✔ It is calculated as: **PAT = PBT − Income Tax**

11. Earnings Per Share (EPS)

✔ Measures the profit attributable to each ordinary share on a per-share basis.
✔ It is calculated as: **EPS = Net Profit/Number of Outstanding shares**

Cash Flow Statement

Cash Flow Statement: A **financial statement** that shows the **inflows** and **outflows of cash** and **cash equivalents** during a particular accounting period.

While the **Income Statement** shows **profit or loss**, the **Cash Flow Statement** explains how the **company's cash position changed** during the period.

It is divided into three main activities:

- ✔ **Cash from Operating Activities**
- ✔ **Cash from Investing Activities**
- ✔ **Cash from Financing Activities**

CASH FLOW STATEMENT PROFORMA

For the Year Ended 31 March 20XX (Amount in ₹)

Particulars	Amount (₹)
A. CASH FLOW FROM OPERATING ACTIVITIES	
Profit Before Tax	XXX
Adjustments for non-cash and non-operating items:	
Depreciation and Amortisation Expense	XXX
Finance Costs	XXX
Loss / (Gain) on Sale of Property, Plant & Equipment (Net)	XXX
Provision for Doubtful Debts / Advances	XXX
Provision for Gratuity / Leave Encashment	XXX
Interest Income	(XXX)
Dividend Income	(XXX)
Sundry Balances Written Back	(XXX)
Other Non-cash Items	XXX
Operating Profit Before Working Capital Changes	**XXX**
Movements in Working Capital:	
(Increase) / Decrease in Inventories	(XXX)
(Increase) / Decrease in Trade Receivables	(XXX)
(Increase) / Decrease in Loans & Advances	(XXX)
(Increase) / Decrease in Other Current Assets	(XXX)
Increase / (Decrease) in Trade Payables	XXX
Increase / (Decrease) in Other Current Liabilities	XXX
Increase / (Decrease) in Provisions	XXX
Cash Generated from Operations	**XXX**
Less: Income Tax Paid (Net of Refund)	(XXX)
Net Cash from Operating Activities (A)	**XXX**
B. CASH FLOW FROM INVESTING ACTIVITIES	
Purchase of Property, Plant & Equipment and Intangible Assets	(XXX)
Proceeds from Sale of Property, Plant & Equipment	XXX
Purchase of Investments	(XXX)
Proceeds from Sale / Redemption of Investments	XXX
Interest Received	XXX
Dividend Received	XXX
Loans & Advances Given	(XXX)
Loans & Advances Repaid	XXX
Other Non-current Assets Purchased	(XXX)
Other Non-current Assets Sold	XXX
Net Cash from / (Used in) Investing Activities (B)	**XXX**
C. CASH FLOW FROM FINANCING ACTIVITIES	
Proceeds from Issue of Equity Shares / Preference Shares	XXX
Share Application Money Received	XXX
Proceeds from Long-term Borrowings	XXX
Repayment of Long-term Borrowings	(XXX)
Proceeds from Short-term Borrowings (Net)	XXX
Interest Paid	(XXX)
Dividend Paid	(XXX)
Lease Liability Payments (Principal Portion)	(XXX)
Net Cash from / (Used in) Financing Activities (C)	**XXX**
Net Increase / (Decrease) in Cash & Cash Equivalents (A + B + C)	**XXX**
Add: Cash & Cash Equivalents at the Beginning of the Year	XXX
Cash & Cash Equivalents at the End of the Year	**XXX**
Components of Cash & Cash Equivalents	
Cash on Hand	XXX
Balances with Banks:	
- In Current Accounts	XXX
- In Deposit Accounts (Maturity within 3 months)	XXX
Cheques / Drafts on Hand	XXX
Total Cash & Cash Equivalents	**XXX**

Notes:

1. The Cash Flow Statement has been prepared under the Indirect Method as per Ind AS-7 / Schedule III of the Companies Act, 2013.
2. Figures are provisional and subject to audit.
3. All amounts are in Indian Rupees (₹).

Cash Flow Statement

Operating Activities: They are cash flows generated from the company's **normal day-to-day business operations.**

Example of operating cash flows:

- ✔ Cash received from customers
- ✔ Cash received for providing services
- ✔ Other operating receipts
- ✔ Payments to suppliers
- ✔ Salaries and wages
- ✔ Rent and other operating expenses
- ✔ Taxes paid

Why Adjustments of Net Income to Cash Flow from Operating Activities Needed

- ✔ This is due to the difference between **accrual accounting** and **cash movements.**

The major adjustments fall into two broad categories:

- ✔ **Non-cash expenses and non-cash items**
- ✔ **Changes in operating working capital**

Cash Flow Statement

Non-cash expenses and non-cash items:

- ✔ **Depreciation and Amortisation:** Add back because they reduce net income but require no actual cash outflow.
- ✔ **Stock-Based Compensation:** Add back the value of stock given to workers since it is an expense that costs no cash.
- ✔ **Deferred Taxes:** Adjust for differences between tax expense on books and actual cash taxes paid.

Changes in operating working capital

- ✔ **Subtract increases** (sales were recorded, but cash is uncollected); add decreases (cash collected from old sales).
- ✔ **Inventories:** Subtract increases (cash was spent to buy more goods); add decreases (sold existing goods without buying new ones).
- ✔ **Accounts Payable:** Add increases (bills were delayed, keeping cash inside the firm); subtract decreases (debts were paid off).

Cash Flow Statement

Investing Activities: They relate mainly to cash flows from the **purchase and sale of long-term assets and investments.**

Examples:

- ✔ Purchase of machinery & equipment
- ✔ Purchase of buildings
- ✔ Purchase of long-term investments
- ✔ Sale of machinery & equipment
- ✔ Sale of buildings
- ✔ Sale of investments
- ✔ Proceeds from disposal of other long-term assets

Cash Flow Statement

Financing Activities: They relate to **cash inflows and outflows** from a company's **financing activities.**

Example of cash inflow from financing activities:

- ✔ Issue of ordinary shares (or common stock)
- ✔ Issue of preference shares (or preferred stock)
- ✔ Issue of debentures and bonds
- ✔ Availing of loans from banks & other financial institutions – increase in short-term & long-term borrowings.

Example of cash outflow from financing activities:

- ✔ Buyback of shares
- ✔ Dividend payment
- ✔ Payment of interest on debt/borrowings
- ✔ Repayment of debt/borrowings

Thank You!